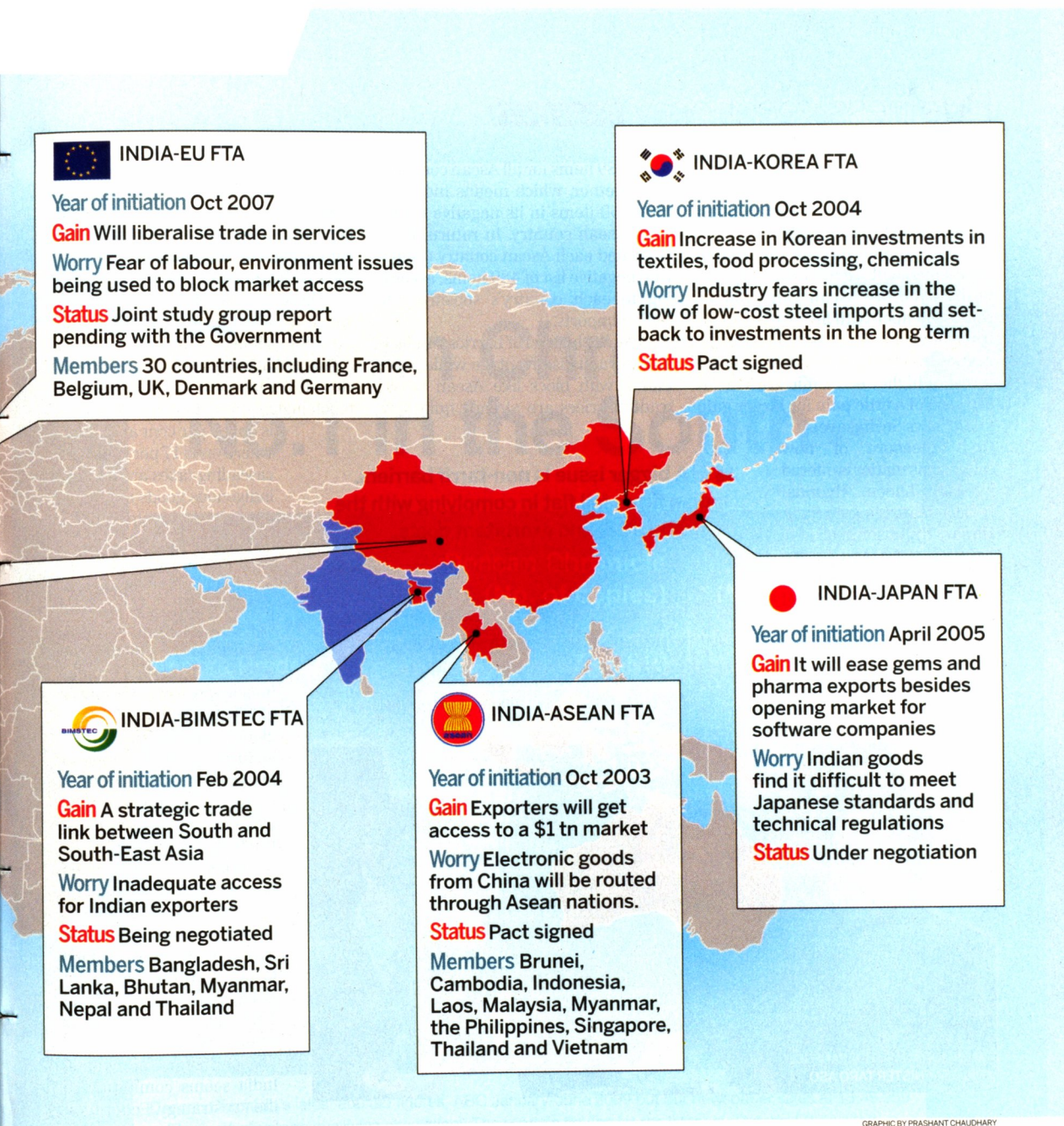




director of Ashok Leyland, says, "It is very important for India to consolidate its position in East Asia to counterbalance China's growing influence through trade, aid and investment."

On the economic side, clearly, India cannot wait for the World Trade Organisation (WTO)—stuck as it is in the Doha development agenda—to deliver. "If out of 150 countries, some are going to have the power to hold up decisions,

not much is likely to happen. So let us try and do some liberalisation ourselves," suggests Debroy.

India's "rush" on FTAs is, however, making many uncomfortable. Political leaders like Defence Minister A.K. Antony are unhappy about the treaty being signed without considering the interests of the plantation sector. "The govt will recommend corrective measures if there are shortcomings in the

agreement," says Antony. Interestingly, the Government had told Parliament that so far there was no real study available on the impact of the FTAs on the economy. Trade analysts are wondering if, in a hurry to wrap up long pending commitments, India may be bartering away more than its counterparts. Industry is worried that India's high tariffs and burden of taxation will weaken its competitiveness, particu-